

- RAG Learning

1.3 Marketing Mix and Strategy

Business — Edexcel (9BS0) — Theme 1: Marketing and people

This is the largest marketing topic in the specification. It covers the elements of the marketing mix — product (through the design mix), promotion and branding, price and place (distribution) — and then the strategic tools used to manage a range of products over time: the product life cycle and the Boston Matrix. The thread running through the whole topic is **integration**: the elements of the mix must fit each other and fit the target market. A premium brand sold through discount retailers at a penetration price is an incoherent mix, and examiners reward candidates who spot that kind of mismatch in an extract.

Marketing mix — the combination of factors a business uses to sell a product: traditionally product, price, promotion and place (the 4Ps). Services add people, process and physical environment (the 7Ps).

Design mix — the combination of function, aesthetics and cost that a designer must balance.

Brand — a name, symbol, design or image that distinguishes a product from its competitors.

USP (unique selling point) — a feature that makes a product different from all its rivals.

Distribution channel — the route a product takes from producer to final consumer.

Product life cycle — the stages a product passes through from development to decline.

Product portfolio — the range of products a business sells.

1.3.1 Product/service design

a) The design mix

Element	Meaning	Example of priority
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Function	Does the product work, is it reliable, safe and fit for purpose?	Medical equipment, JCB diggers
Aesthetics	How it looks, feels, sounds, tastes or smells; its appeal to the senses	Fashion, perfume, Apple products
Cost	Can it be made at a cost that allows a competitive price and a profit?	Own-label groceries, Primark

The three elements usually conflict: more aesthetic appeal or better function tends to raise cost. The right balance depends on the target market — a Dyson hair dryer prioritises function and aesthetics and is priced accordingly; an Argos-own-brand dryer prioritises cost.

b) Changes in the design mix to reflect social trends

- **Concern over resource depletion** — designing for:
 - **Waste minimisation** — using less material, reducing packaging (Coca-Cola's tethered caps and lighter bottles; supermarkets removing plastic from fruit).
 - **Re-use** — refillable packaging (refill stations in Asda and Waitrose), durable products, repairability (Fairphone).
 - **Recycling** — products and packaging made from recyclable or recycled material; the UK Plastic Packaging Tax (from 2022) taxes packaging with less than 30% recycled content.
- **Ethical sourcing** — ensuring raw materials and components are produced without exploitation of workers or damage to the environment: Fairtrade certification, Rainforest Alliance, conflict-free minerals. Tony's Chocolonely built its brand around slave-free cocoa.

Business implications: sustainable design can raise costs and prices, but can also add value, attract growing segments of ethically-minded consumers, pre-empt regulation, and reduce waste costs. The risk is **greenwashing** — claims that exceed reality attract consumer backlash and CMA scrutiny (the CMA's Green Claims Code, 2021).

1.3.2 Branding and promotion

a) Types of promotion

Type	Description	Strengths / weaknesses
Advertising	Paid communication through media: TV, digital, social, outdoor, radio, print	Wide reach and brand-building; expensive and hard to measure (except digital)
Sales promotion	Short-term incentives: BOGOF, coupons, loyalty points, competitions, free samples	Boosts short-term sales; may cheapen the brand and simply bring sales forward
Public relations (PR)	Gaining favourable media coverage; press releases, events	Cheap and credible; hard to control
Personal selling	Direct contact between a salesperson and a buyer	Persuasive and tailored; high cost per contact — used for B2B and high-value goods
Direct marketing	Email, direct mail, SMS sent to targeted individuals	Targeted and measurable; can be seen as spam
Sponsorship	Paying to be associated with an event, team or person	Builds image by association; risk if the sponsored party is involved in scandal
Product placement	Paying for products to appear in TV, film or games	Subtle; hard to measure

The **promotional mix** is the combination chosen, which depends on the budget, the target market, the product and its life-cycle stage, and competitors' actions.

b) Types of branding

- **Manufacturer (producer) brands** — created and owned by the producer and sold through many retailers: Heinz, Cadbury, Nike.
- **Own-label (retailer or distributor) brands** — created by retailers, often made by a manufacturer under contract: Tesco Finest, Sainsbury's Taste the Difference, M&S Food. Premium own-label ranges now compete directly with manufacturer brands.

- **Corporate (umbrella) branding** versus **individual product branding** — Virgin puts one name on many products; Procter & Gamble and Unilever give each product its own brand (Ariel, Dove), so a failure does not damage the whole company.

c) Benefits of strong branding

- **Added value** — customers will pay more than the functional value of the product for the image and reassurance.
- **Ability to charge premium prices** — higher unit margins.
- **Reduced price elasticity of demand** — loyal customers are less sensitive to price rises (links to 1.2.4), so revenue rises when price increases.
- Also: customer loyalty and repeat purchase, easier launch of new products under the same brand, bargaining power with retailers.

d) Ways to build a brand

- **USPs / differentiation** — a clear reason to choose the brand (Dyson's bagless technology).
- **Advertising** — consistent messages over time build awareness and image.
- **Sponsorship** — Emirates and Arsenal; Red Bull and extreme sports and Formula 1.
- **Social media** — engaging directly with customers, user-generated content, influencers. Gymshark grew from a garage start-up to a brand valued at over £1bn largely through social-media influencers.

e) Changes in branding and promotion to reflect social trends

- **Viral marketing** — content that customers share themselves, so it spreads rapidly at low cost (e.g. the Stanley cup TikTok trend, 2023–24). Unpredictable: most attempts do not go viral and the message can be distorted.
- **Social media** — spending has moved from TV and print to digital; targeting is precise and measurable, and small firms can compete with large ones. But negative comments spread just as fast.
- **Emotional branding** — building an emotional connection between customer and brand (John Lewis Christmas adverts, Dove's "Real Beauty" campaign). Creates loyalty beyond function, but must be authentic.

1.3.3 Pricing strategies

a) Types of pricing strategy

Strategy	Description	When used / example
Cost plus	Add a percentage mark-up to unit cost	Simple; used by retailers and manufacturers. Ignores demand and competitors
Price skimming	High launch price, lowered over time	Innovative products with few competitors: new games consoles, new smartphones. Recoups R&D; attracts early adopters
Penetration	Low launch price to gain market share quickly, raised later	Entering a competitive mass market: new streaming services, Lidl and Aldi entering the UK
Predatory	Setting prices below cost to drive rivals out, then raising them	Illegal under the Competition Act 1998 when used by a dominant firm
Competitive	Setting prices in line with (or just below) rivals	Markets with little differentiation: petrol, supermarkets' price-matching
Psychological	Prices that appear cheaper or signal quality: £9.99 rather than £10; round prices for luxury	Almost all retail

Cost-plus worked example:

$$\text{Selling price} = \text{Unit cost} \times (1 + \text{mark-up } \%)$$

A furniture maker's unit cost is £120 (materials £70 + labour £30 + share of overheads £20). With a 40% mark-up: price = £120 × 1.40 = **£168**. The profit per unit is £48. Note that the mark-up (40% on cost) is not the same as the profit margin (£48 ÷ £168 = 28.6% of price).

If the mark-up is given and you need to find it: $\text{mark-up } \% = (\text{price} - \text{unit cost}) \div \text{unit cost} \times 100$.

b) Factors that determine the most appropriate pricing strategy

- **Number of USPs / amount of differentiation** — more differentiation allows higher prices.
- **Price elasticity of demand** — inelastic demand supports higher prices.
- **Level of competition** — intense competition forces competitive pricing.
- **Strength of brand** — strong brands can charge premiums.
- **Stage in the product life cycle** — skimming or penetration at launch; competitive pricing at maturity; discounting in decline.
- **Costs and the need to make a profit** — in the long run, price must cover unit cost.

c) Changes in pricing to reflect social trends

- **Online sales** — lower costs for online sellers (no shops) allow lower prices; dynamic pricing changes prices in real time with demand (airlines, Uber, Ticketmaster's controversial dynamic pricing for Oasis tickets in 2024, which prompted a CMA investigation).
- **Price comparison sites** — MoneySuperMarket, Compare the Market, Skyscanner and Google Shopping make prices transparent, increasing PED and pushing prices down, especially for undifferentiated products such as insurance and energy.

1.3.4 Distribution

a) Distribution channels

Channel	Example	Comment
Producer → consumer (direct)	Farm shops, Dell, brand websites, Tesla	Keeps full margin and customer data; producer bears the cost of distribution
Producer → retailer → consumer	Samsung TVs sold through Currys	Wide reach; retailer takes a margin
Producer → wholesaler → retailer → consumer	Confectionery sold to independent newsagents	Suits small retailers who buy in small quantities; more intermediaries,

	via Booker	higher final price
Producer → agent → consumer/retailer	Exporters using overseas agents; estate agents	Local knowledge; commission cost; less control

Choosing a channel involves trading off **reach**, **control** (over presentation and price) and **cost**. More intermediaries means wider reach but lower margins and less control.

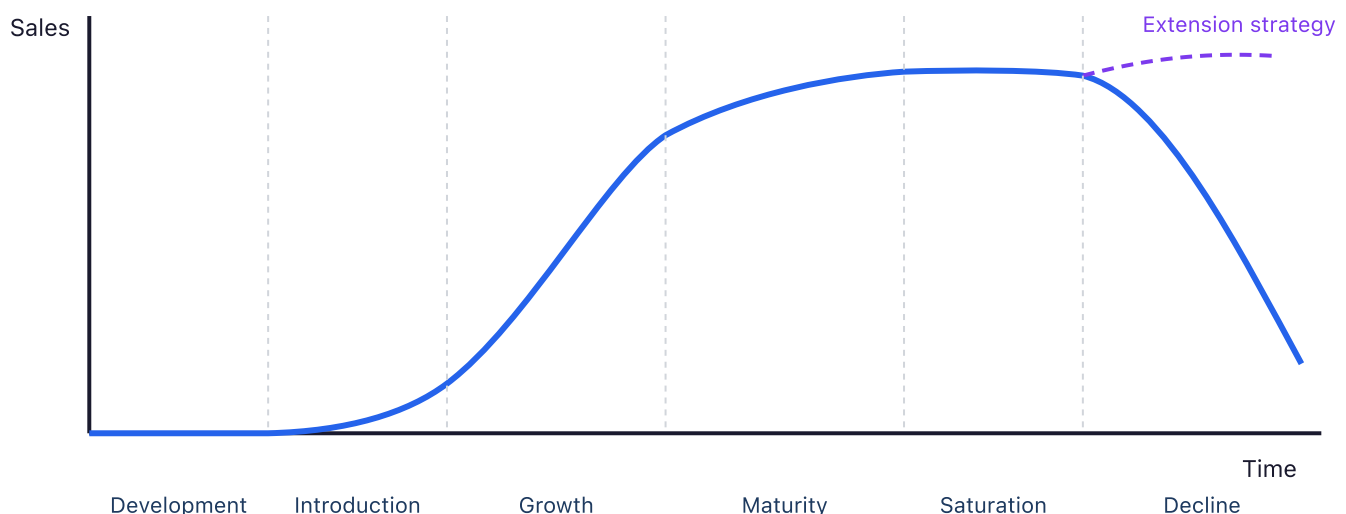
b) Changes in distribution to reflect social trends

- **Online distribution** — e-commerce, apps, marketplaces (Amazon, eBay, Etsy); direct-to-consumer (DTC) brands; click-and-collect; rapid delivery. Digital products (music, software, games) are distributed entirely online. Physical retailers have responded with multi-channel (omnichannel) strategies.
- **Changing from product to service** — selling access rather than ownership: Spotify instead of CDs, Adobe Creative Cloud subscriptions instead of boxed software, car leasing and subscription, Rolls-Royce's "TotalCare" model where airlines pay per hour of engine use. This gives the business recurring revenue and a continuing relationship with the customer.

1.3.5 Marketing strategy

a) The product life cycle

The product life cycle (sales against time)



Stage	Sales	Cash flow / profit	Typical marketing
Development	None	Negative: R&D, testing, design costs	Market research, test marketing
Introduction	Low, slow growth	Usually negative: launch promotion, low volumes	Heavy informative promotion; skimming or penetration pricing; limited distribution
Growth	Rising rapidly	Turns positive; rivals begin to enter	Widen distribution; build brand loyalty
Maturity	High, growth slowing	Strongest; development costs recovered	Persuasive and reminder promotion; competitive pricing
Saturation	Peak, flat; market full	Positive but under pressure from price competition	Extension strategies
Decline	Falling	Falling; may become negative	Cut promotion, discount, withdraw or retain a loyal niche

Uses: planning the marketing mix at each stage, planning cash flow (introduction drains cash), and managing a portfolio so that new products are launched while others are in maturity. **Limitations:** the length of each stage is unpredictable and varies hugely (Mars bars since 1932; fad toys last months); stages are only identifiable afterwards; and the model can be self-fulfilling — a manager who sees falling sales as “decline” may cut support and cause the decline.

b) Extension strategies

- **Product** — new flavours, sizes, versions, packaging or features: KitKat's many flavour variants; new iPhone models each year; Coca-Cola Zero Sugar.
- **Promotion** — new campaigns, repositioning to a new target market, new uses: Lucozade repositioned from a drink for the ill to a sports drink; Guinness targeting younger drinkers through Guinness 0.0 and social media, which drove a surge in demand in 2024.

Extension strategies cost money and only postpone decline; a firm must judge whether the extra contribution justifies the investment, or whether resources are better spent on a replacement product.

c) Boston Matrix and the product portfolio

The Boston Matrix classifies products by **market growth rate** (high/low) and **relative market share** (high/low).

	High market share	Low market share
High market growth	Star — strong position in a growing market; generates cash but needs investment to keep up with growth. Strategy: build/invest.	Question mark (problem child) — weak position in a growing market; absorbs cash. Strategy: invest selectively to turn into stars, or drop.
Low market growth	Cash cow — market leader in a mature market; generates surplus cash with little investment. Strategy: hold/milk; use the cash to fund stars and question marks.	Dog — weak position in a mature or declining market. Strategy: divest, or retain if it supports the range.

Balanced portfolio: cash cows fund the development of question marks into stars, which become the next cash cows as their markets mature. **Limitations:** it is a snapshot; it considers only share and growth, not profitability; "dogs" may still be profitable or strategically useful (e.g. completing a range); and defining the market is subjective, which changes the classification.

Exam Tip: The Boston Matrix and product life cycle are linked: a question mark is usually in introduction or growth, a star in growth, a cash cow in maturity, a dog in decline. Using the two models together in an answer shows integrated understanding and earns analysis marks.

d) Marketing strategies for different types of market

Market	Typical strategy
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Mass market	Wide distribution, national advertising, competitive or penetration pricing, reliance on economies of scale and brand recognition
Niche market	Targeted promotion (specialist media, social media), premium pricing, selective distribution, emphasis on specialism and service
B2B (business to business)	Fewer, larger buyers; rational purchasing decisions; personal selling, trade shows, negotiated prices, long-term relationships and contracts (e.g. Sage selling accounting software to firms)
B2C (business to consumer)	Many buyers; decisions more emotional and impulsive; mass media, branding, sales promotion, retail distribution

e) Consumer behaviour — how businesses develop customer loyalty

- **Loyalty schemes** — Tesco Clubcard (with Clubcard Prices), Costa Club, Starbucks Rewards.
- **Customer service** and after-sales care — resolving complaints well builds loyalty.
- **Relationship / CRM marketing** — personalised communications using customer data.
- **Subscriptions and memberships** — Amazon Prime bundles delivery, video and music, raising switching costs.
- **Brand building and emotional connection** — customers identify with the brand.
- **Consistent quality** — loyalty depends on the product meeting expectations every time.

It is usually far cheaper to retain an existing customer than to win a new one, which is why loyalty matters to profitability.

Common mistakes

- Confusing mark-up (on cost) with profit margin (on price).
- Recommending skimming for a product with many close substitutes — skimming requires something new and desirable.
- Describing every element of the mix instead of judging which element matters most in the context.

- Treating the PLC as a forecasting tool; it describes, it does not predict.
- Saying dogs “should always be dropped”.
- Forgetting that predatory pricing is illegal for a dominant firm.

Exam Tip: For a 12- or 20-mark question on the marketing mix, the evaluation almost always lies in **fit and trade-offs**: does the proposed change fit the target market and the brand? What will competitors do? Can the firm afford it? What is the PED? Conclude with what the decision “depends on” most, in this context, and why.

Quick recall

- Design mix: function, aesthetics, cost; social trends: waste minimisation, re-use, recycling, ethical sourcing
- Strong brands: added value, premium prices, lower PED
- Build a brand: USP, advertising, sponsorship, social media; trends: viral, social, emotional branding
- Pricing: cost plus, skimming, penetration, predatory (illegal if dominant), competitive, psychological
- $\text{Price} = \text{unit cost} \times (1 + \text{mark-up})$
- Online sales and price comparison sites increase price transparency and PED
- Channels: direct, retailer, wholesaler, agent; trends: online, product to service
- PLC: development, introduction, growth, maturity, saturation, decline; extension by product or promotion
- Boston: stars, cash cows, question marks, dogs; cash cows fund question marks
- B2B = few buyers, rational, personal selling; B2C = many buyers, branding, mass media